

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

HANGZHOU QIANWANG DRESS CO., LTD., *Complainant*

v.

RDD FREIGHT INTERNATIONAL INC., *Respondent*.

DOCKET NO. 17-02

Served: March 26, 2019

BEFORE: Erin M. WIRTH, *Administrative Law Judge*.

ORDER REQUIRING JOINT STATUS REPORT

On March 7, 2019, the Commission issued an Order Vacating and Remanding Initial Decision. *See* attached Commission Order. The Commission ordered the matter to be reviewed for consideration of the section 41102(c) claims in light of the Commission's new interpretive rule.

On December 17, 2018, the Commission issued a final rule regarding the interpretation of 46 U.S.C. § 41102(c). New Commission Rule § 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. *See* attached Interpretive Rule at 8-9.

The Initial Decision in this proceeding, issued on August 29, 2018, found that RDD Freight violated section 41102(c) of the Shipping Act by releasing cargo without requiring presentation of an original bill of lading on three separate occasions. The Commission now

requires this decision to be reconsidered in light of the new Rule 545.4, which will require that the Complainant establish that the claimed acts or omissions occurred on a “normal, customary, and continuous basis,” an issue not addressed in the Initial Decision.

The Commission did not address the issue of the impact of the Ningbo Maritime Court settlement agreement, the issue which was the basis of RDD Freight’s exceptions. That issue will not be addressed in this remand unless there is new evidence not available at the time of the August 29, 2018, Initial Decision.

The parties are hereby required to meet and confer by April 17, 2019, to discuss next steps in this proceeding. The parties will then file a joint status report by April 26, 2019.

The parties are required to discuss whether settlement of this claim is possible to avoid the time and expense involved in litigating this proceeding under the new Commission Rule. The parties should state in the joint status report whether they have discussed settlement, but they should *not* provide their positions on settlement. If the parties decide to settle this proceeding, they must submit a motion for approval of the settlement with a copy of the settlement agreement.

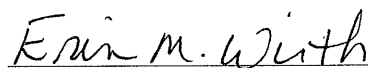
In the joint status report, the parties should also state whether additional discovery will be required. If additional discovery is required, the parties should discuss when voluntary disclosures can be made and should exchange relevant documents in a timely fashion.

The parties will be given an opportunity to file briefs after discovery is complete. The briefs should focus on the legal and factual issues necessary to establish that the alleged violation occurred on a normal, customary, and continuous basis. The parties should only address the Ningbo Maritime Court settlement agreement if they have provided new evidence about the settlement.

The parties should agree on a proposed schedule for any additional discovery, Complainant’s remand brief, Respondent’s remand opposition brief, and Complainant’s remand reply brief. The proposed schedule should be included in the joint status report.

As a reminder, filings should be sent to the Office of the Secretary at *secretary@fmc.gov* with a courtesy copy sent to *judges@fmc.gov* and opposing parties should be copied.

For the reasons set forth above, the parties are hereby **ORDERED** to meet and confer by April 17, 2019, and to file a joint status report as outlined above on or before April 26, 2019.



Erin M. Wirth
Administrative Law Judge